



**Compliance Report : Knight Markets  
Regulatory Overview**

## Brief Summary Overview

Knight Markets is primarily an institutional brokerage.

We bank with tier 1 institutions and because we trade directly with the market our client funds typically sit with counter parties and Liquidity providers.

These may include institutional banks such as Citi, or Desucbe which typically require \$500,000-\$1,000,000 in held capital per feed/account we hold with them to access the Prime of Prime institutional feeds that we use.

Additional capital is generally held via fully regulated prime brokers (such as OTS Securities mentioned in the prior document) using Segregated client custody accounts with BMO Harris (one of the world's top 20 Custodians).

Our counterparties are all regulated entities - whether they are Prime brokers, banks or other Liquidity partners.

A structural list of our regulatory interaction can be found below :

## KEY REGULATORY TOUCHPOINTS

| Aspect               | Your Broker (OTS Prime Structure)                                                                                                   | Regulatory Impact / Meaning for Clients                                           |
|----------------------|-------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| Prime Broker         | OTS Securities (Registered trading name of Blackwell Global Investments Ltd.)                                                       | All prime brokerage services operate under a regulated investment firm structure. |
| Regulatory Authority | Authorised & Regulated by the Securities Commission of The Bahamas (SCB)                                                            | Licence & Certificate No. SIA-F215                                                |
| Company No. 201732 B | SCB enforces capital adequacy, segregation, reporting, conduct standards, and governance for all supervised financial institutions. |                                                                                   |



|                                                    |                                                                                  |                                                                                                                                                          |
|----------------------------------------------------|----------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Custody Location</b>                            | <b>Client funds held at BMO Harris (FDIC-insured US bank)</b>                    | Segregated client funds under <b>bank-grade custody</b> , no rehypothecation, daily reconciliation.                                                      |
| <b>Liquidity Providers</b>                         | <b>Tier-1 LPs (Deutsche Bank, JP Morgan, LMAX, Currenex, etc.)</b>               | Execution routed to <b>wholesale institutional liquidity</b> under LP regulatory frameworks (FCA, BaFin, NFA, ECB).                                      |
| <b>Execution Model</b>                             | <b>Pure agency / A-Book only</b>                                                 | No dealing desk; no conflict of interest — orders are passed directly to the liquidity tier.                                                             |
| <b>MTF/ECN Venues Used</b>                         | <b>LMAX Exchange (FCA MTF) and Currenex (bank-owned ECN)</b>                     | Clients benefit from exchange-style transparency, matching rules, and surveillance.                                                                      |
| <b>Regulatory Oversight Stack</b>                  | <b>SCB (Broker) + FDIC (Custody Bank) + FCA/BaFin/NFA/ECB (LPs &amp; Venues)</b> | Multi-layered institutional-grade protection across multiple top-tier jurisdictions.                                                                     |
| <b>Reporting &amp; Auditing</b>                    | <b>Prime broker reporting + BMO custodial statements + LP execution logs</b>     | Transparency on balances, flow, and trade confirmations.                                                                                                 |
| <b>Counterparty Risk Model</b>                     | <b>Distributed across broker + custody bank + Tier-1 LPs</b>                     | Reduces concentration risk; no single point of failure.                                                                                                  |
| <b>Client Account Structure</b>                    | <b>Fully segregated custody accounts at BMO Harris</b>                           | Client funds remain <b>client property</b> — not operational capital.                                                                                    |
| <b>External Dispute Resolution &amp; Insurance</b> | <b>Financial Commission Membership (in final compliance steps)</b>               | Independent dispute resolution + <b>Compensation Fund insurance</b> covering client deposits <b>up to €20,000 per account</b> (expected within 60 days). |
| <b>Regulatory Purpose</b>                          | <b>Protect client assets + ensure execution fairness + enforce transparency</b>  | Institutional-grade trust and risk controls.                                                                                                             |

## Consumer Protection



**The  
Financial  
Commission**

For retail consumer protection, our compliance team is currently completing our membership to the Financial Commission.

The Financial Commission is an independent external dispute resolution organisation which specialises in resolving disputes and complaints for the forex market.

The Financial Commission also provides additional protection for traders through the Compensation Fund which acts as an insurance for members' clients.

Shortly (next 60 days) this means we will have insurance through the Financial Commission (<https://financialcommission.org/>) on client deposits up to €20,000 per account.

## Review Site Participation

Our external customer review style marketing sites is not something we have focused on building up as yet predominantly because we work with institutional clients, hedge funds and professional traders who do not use these services.

Also, regrettably in our brief interactions we have also found them unreliable and at times extortionate.

There is an issue within the retail broker industry at present with review websites popping up to do damage to brokers and offer to remove the damage on their site for \$10's of thousands a year because they know consumers pay attention to them.

If we engaged with them all we would add hundreds of thousands of dollars a year in expenses to avoid reputational blackmail which we are not comfortable with.

This is something that our team are looking into. Potentially a singular managed channel. As ensuring peace of mind for clients is important to us.



## Key Broker Counter Parties and Regulatory Details

The following is a list of regulated entities that are involved in our business structure, with whom we have undergone direct vetting, directly do counter party trading with, or are connected to directly through our Liquidity arrangements. Each of these relationships require high levels of regulatory compliance.

### J.P. Morgan (J.P. Morgan entities)

**Legal name (examples of relevant entities):** J.P. Morgan Securities LLC / J.P. Morgan Chase Bank, N.A. / J.P. Morgan Securities plc

**Head office:** New York, NY (global operations).

**Regulatory supervision:** CFTC (U.S.) — registered/provisionally registered swap dealer status; NFA membership for relevant U.S. entities; PRA/FCA supervision for U.K. entities; multiple other national supervisors for non-U.S. subsidiaries.

**Key registrations / notes:** Provisionally registered swap dealer with the CFTC; public disclosure obligations and regulatory orders are on file. J.P. Morgan operates under consolidated prudential (Basel/FR Y-9C) and conduct regimes across the U.S., U.K., and EU.

**Relevance:** Global Tier-1 liquidity, wide product access (FX, swaps).

---

### LMAX Exchange (LMAX Ltd / LMAX Exchange)

**Legal name:** LMAX Exchange / LMAX Ltd (LMAX Group entities).

**Head office:** London (global offices).

**Regulatory supervision:** Financial Conduct Authority (FCA) — operates as an FCA-regulated Multilateral Trading Facility (MTF) for FX; additional regional authorisations where applicable.

**Key registrations / notes:** FCA-regulated MTF with a public rulebook and exchange-grade execution model (central limit order book, no last-look on the exchange). Serves institutional participants and provides transparent market data and surveillance.

**Relevance:** Exchange-grade matching and regulatory transparency for spot FX execution.

---

### Currenex (Currenex Inc. — GlobalLink / State Street)

**Legal name:** Currenex Inc. (a GlobalLink company, wholly owned by State Street Corporation).

**Head office:** U.S. / Boston (State Street group).

**Regulatory supervision / ownership:** Acquired by State Street Corporation (2007); operates as a trading technology/venue used by banks and institutional clients; subject to U.S. and applicable local regulations via State Street and its operating entities.

**Key registrations / notes:** Currenex is part of State Street's FX technology suite (GlobalLINK);



its integration means trading and connectivity are supported by State Street's regulated custody and reporting infrastructure. Note: venue practices and governance are continuously reviewed; recent market commentary and vendor disputes occasionally appear in trade press.

**Relevance:** Multi-bank FX liquidity technology for Global FX feeds; ownership by a global custodian (State Street).

---

## **BMO Harris Bank N.A. (Custodian)**

**Legal name:** BMO Harris Bank N.A. (Bank of Montreal group — U.S. banking subsidiary)

**Head office:** Chicago / U.S. operations.

**Regulatory supervision:** U.S. federal banking regulators (FDIC, Federal Reserve oversight as applicable for affiliates), state regulators, and banking disclosure filings. BMO Harris provides custody and wealth/custodial services under BMO Private Bank / BMO Wealth brands.

**Key registrations / notes:** BMO Harris Bank N.A. is an FDIC-insured U.S. bank; custodial agreements and institutional custody documentation are publicly available (terms, fees, disclosures). As a bank custodian it maintains segregated custody structures and reconciliation processes typical of institutional custody relationships.

**Relevance:** Bank-grade custody for client funds, reconciliation, and custody reporting; an additional layer of depositor / custodial protection and operational robustness.

---

## **State Street Corporation**

**Legal name:** State Street Corporation (and State Street Bank and Trust Company)

**Head office:** Boston, MA, USA.

**Regulatory supervision:** U.S. banking regulators (Federal Reserve, OCC as applicable for certain entities), SEC oversight for certain fund services, and global supervisors for international subsidiaries. State Street is a major global custodian and service provider.

**Key registrations / notes:** Owner of Currenex (GlobalLINK/Currenex acquisition); large institutional custody footprint, advanced reporting and regulatory compliance capabilities for asset servicing.

**Relevance:** Institutional custodian and technology owner — relevant where liquidity/venue technology (Currenex) is provided together with custody / reporting service

---

## **Citigroup / Citi**

**Legal name:** Citigroup Inc. and group operating entities (Citibank, N.A.; Citigroup Global Markets Limited; Citibank Europe plc, etc.)



**Head office:** New York, NY (global network).

**Regulatory supervision:** Multi-jurisdictional: U.S. federal regulators (OCC, Federal Reserve), UK PRA/FCA for UK entities, Central Bank of Ireland for EU entities, and other national supervisors. Citi publishes extensive regulatory filings (FR Y-9C, Pillar 3, resolution plans).

**Key registrations / notes:** Large global bank with custody, prime brokerage, and LP activity — subject to PRA/FCA rules in the U.K., Fed/OCC in the U.S., and local EU supervisors for European entities.

**Relevance:** Another Tier-1 liquidity and custody counterparty

---

## UBS Group AG

**Legal name:** UBS Group AG and regulated subsidiaries (UBS AG, UBS Switzerland AG, etc.)

**Head office:** Zurich, Switzerland (global operations).

**Regulatory supervision:** Swiss Financial Market Supervisory Authority (FINMA) for Swiss entities; PRA/FCA oversight for U.K. branches/subsidiaries; ECB/other supervisors for EU entities where applicable. UBS is a G-SIB and subject to enhanced prudential supervision.

**Key registrations / notes:** FINMA supervised (Swiss prudential regime), subject to global resolution & capital frameworks; publishes Pillar 3 / regulatory disclosures.

**Relevance:** Global Tier-1 bank used for FX liquidity

---

## OTS Securities / Blackwell Global Investments Limited

**Legal name:** OTS Securities (registered trading name of Blackwell Global Investments Limited)

**Head office / registration:** Nassau, The Bahamas.

**Regulatory supervision / licence:** Authorised & regulated by the Securities Commission of The Bahamas (SCB). Licence / Certificate No. **SIA-F215**. Company Number **201732 B** (per company disclosures).

**Key registrations / notes:** OTS Securities operates under Blackwell Global Investments Limited's Bahamian regulatory licence; legal and regulatory disclosures (license number, registered office) are published on the firm's sites and regulatory statements.

**Relevance:** The broker/prime - Bahamian regulation governs corporate conduct, capital and client-segregation rules applicable to Blackwell/OTS operations

---

## Deutsche Bank AG

**Legal name:** Deutsche Bank AG

**Head office:** Frankfurt am Main, Germany



### Regulatory supervision:

- **BaFin — Bundesanstalt für Finanzdienstleistungsaufsicht** (Germany)  
Primary supervisor for banking, markets, internal controls, and conduct.
- **European Central Bank (ECB)** — Single Supervisory Mechanism (SSM)  
Supervises Deutsche Bank as a *Significant Institution* under EU prudential rules.
- **FCA — Financial Conduct Authority** (United Kingdom)  
Deutsche Bank AG London Branch, **FRN 150018**.
- **CFTC / NFA — Commodity Futures Trading Commission / National Futures Association** (United States)  
Registered Swap Dealer, **NFA ID: 02547**.

### Regulatory licenses & classifications:

- **German Banking License** under the German Banking Act (KWG).
- **ECB/SSM classification:** Significant Institution under CRD/CRR (EU capital and liquidity regime).
- **US Registration:** CFTC-registered Swap Dealer; NFA member.
- **Systemic importance:** Officially designated **G-SIB** (Global Systemically Important Bank) by the Financial Stability Board (FSB).

